

Office furniture and fixtures are written off in ten years. On all depreciable properties rates are determined by actual experience and engineers' estimates as to the productive life of the equipment. In respect to depreciation of current assets, a reserve is set aside to cover probable loss from bad debts.

(From the listing application of Midland Steel Products Company, dated February 11, 1930.)

The following are the rates of depreciation used:

	Rate of depreciation per year, %
Buildings	2
Grounds, driveways and walks	2
Machinery	7
Furniture and fixtures	10
Railroad sidings	2
Automobiles and trucks	25
Tools and dies—amortized over life of job when number of units required can be determined, otherwise written off at close of each fiscal year.	

These rates have been used by the Company for several years, being standard practice in the industry.

The rates are based upon the estimated life of the respective property involved. Thus, with respect to buildings, the cost is depreciated, over 50 years; grounds, driveways, and walks, over 50 years; machinery over 14 years; furniture and fixtures, over 10 years; railroad sidings, over 50 years. No residual value at the expiration of said periods is considered in determining the rates used.

In contrast with this standard policy, now all but universally followed, we may point to the questionable practice on this important point formerly resorted to by such important companies as American Car and Foundry, American Sugar Refining and Baldwin Locomotive Works.

The American Sugar Refining Company's listing application, dated December 6, 1923, contained the following statement:

The Company maintains a very liberal policy as to depreciation as shown by the annual profit and loss statement of past years. The value of its properties is at all times fully maintained by the making of all needful and proper repairs thereto and renewals and replacements thereof.